

lowed in listed entities, the trend has picked up over the last few years with stock markets around the world gaining pace. Traditionally, private equity firms have played a major role in incubating new businesses and entrepreneurs by not only funding but also hand-holding the promoters. They used their expansive domestic and international network to help the investee companies attain scale and globalise. But with changing times and the pressure to deliver better returns to their investors, even long-term investors like private equity firms are not averse to making a killing in the markets.

Critics of this trend believe that it does not foster entrepreneurship, which is what private equity capital is supposed to do. However, with a one-year lock, PIPE deals make sense in India as the barriers to listing are so low that often companies get listed much before they are ready, and end up with illiquid stock, not actively covered by institutions. For such companies, PIPE is a cost-effective way to raise capital as it enables investments up to \$200 million (Rs 800 crore), which otherwise is difficult to obtain in unlisted space. Explains Ashish Dhawan, senior MD of ChrysCap: "Our public markets have too many listed companies and institutional money typically goes into large companies. So PIPE is a good way to attract long-term capital into mid-cap companies." Depending on regulations in different markets, such players can pick up stakes in listed entities. While a Securities and Exchange Commission filing is mandatory for such deals in the US, in India promoters are free to make a preferential allotment under Section 81/1A.

So far ignored by institutional investors, the small and medium companies suddenly have many suitors. The stupendous climb of the Sensex has made these listed companies attractive both in terms of money and time. Explains Harish H.V., partner (corporate advisory services) at Grant Thornton: "Private equity firms do these with a view to achieving capital appre-

THE DEALS AND THE MAKERS

Welspun Gujarat Stahl Rohren

Oil & gas

Private equity player:

3i Investments

Stake: 6.6%

Deal size: \$80 million

Vipul

Real estate

Private equity player: Wachovia

Bank

Stake: 15%

Deal size: \$57 million

Nagarjuna Construction

Construction

Private equity player:

Blackstone

Stake: NA

Deal size: \$150 million

Ushodaya Enterprises

Media

Private equity player:

Blackstone & affiliates

Stake: NA

Deal size: \$465 million

Dalmia Cements (Bharat)

Cement

Private equity player:

Actis

Stake: 11%

Deal Size: \$25 million



ciation and it is also easy to benchmark value unlike in an unlisted company where valuation is subjective."

However, the involvement and engagement that such investors have with companies is significantly less than what it would be in an unlisted entity as all transactions don't ensure a board seat, as is the case of 3i Investments and WGSR. Says Nitin Deshmukh, head of Kotak Private Equity: "Investment in PIPE has been quicker as the gravity-defying rise of the Sensex has given good returns to investors." This kind of investment enhances the stock's profile as private equity players are known to do a thorough due diligence before investing. Dhawan cites the example of one of the earliest PIPE in IVRCL by ChrysCap in 2004, when construction was not a hot sector. The entire sector got re-rated after two players picked up stakes to-

talling 36 per cent in the company for \$18 million (Rs 72 crore).

These deals apart from being safe for investors, with easy exit and transparent valuations, also offer a significant upside for the promoters, particularly if they are in a transition phase. For instance, Dalmia Cements (Bharat) would have been considered a modest company with revenues of Rs 650 crore in 2006. After 18 months and one PIPE deal of \$25 million (Rs 100 crore) by Actis, the company has more than doubled its revenues.

Says Puneet Dalmia, managing director of Dalmia Cement (Bharat): "As a company becomes more ambitious, it has to press certain levers to align with the new target. Having a private equity firm like Actis on board has facilitated that process. They helped with environment orientation." The company, which is into sugar and cement, may even consider a demerger to deliver more focused results to the shareholders. Actis entered Dalmia Cement at Rs 262 and the stock is at Rs 560 today. Evidently, the equity firm is laughing its way to the bank. Needless to say, significant value-



"Private equity gives stability to a company's stock as a blue-chip name attracts others."

B.K. GOENKA, MANAGING DIRECTOR, WELSPUN GROUP